CO-OPERATIVE BANK OF KENYA

The Board of Directors are pleased to announce the Un-audited results of the Group and the Bank for the Period ended 30 June 2019

		GROUP				BANK			
I	STATEMENT OF FINANCIAL POSITION	30-Jun-19 KSHS.'000 (Un-audited)	31-Mar-19 KSHS.'000 (Un-audited)	31-Dec-18 KSHS.'000 Audited	30-Jun-18 KSHS.'000 (Un-audited)	30-Jun-19 KSHS.'000 (Un-audited)	31-Mar-19 KSHS.'000 (Un-audited)	31-Dec-18 KSHS.'000 Audited	30-Jun-18 KSHS.'000 (Un-audited)
A	ASSETS								
1	Cash (local and foreign)	6,190,519	6,125,220	9,809,390	6,513,169	5,722,451	5,687,933	9,064,099	6,110,657
2	Balances due from Central Bank Of Kenya	28,357,486	19,572,813	22,669,211	16,709,620	28,357,486	19,572,813	20,820,071	16,709,620
3	Kenya Government and other securities held for dealing purposes	-	-		-	-	-		-
4	Financial Assets at fair value through profit and loss	-	1,069,155	-	151	-	-	-	151
5.a.a	Investment Securities: Held at amortised cost-Kenya Government Securities	63,795,154	71,145,373	49,701,030	51,716,232	63,640,557	70,991,001	49,544,242	51,559,860
5.a.b	Investment Securities: Held at amortised cost- Other Securities	-	-	-	-	-	-	-	-
5.b.a	Investment Securities: Fair Value through OCI- Kenya Government Securities	31,175,951	32,781,133	30,572,358	28,468,170	31,147,551	32,749,853	30,572,358	28,431,370
5.b.b	Investment Securities: Fair Value through OCI- Other Securities	2,024,282	2,182,188	2,555,201	2,944,295	2,024,282	2,182,188	2,426,271	2,944,295
6	Deposits and balances due from local banking institutions	4,006,174	348,810	7,879,632	3,397,345	2,704,251	181,411	6,997,990	2,500,655
7	Deposits and balances due from banking institutions abroad	12,748,269	14,836,157	10,202,016	10,055,747	10,289,821	12,323,109	10,598,377	8,296,135
8	Tax recoverable	273,514	15,787	18,173	67,128	257,339	-	-	49,849
9	Loans and advances to customers (net)	257,563,635	251,628,561	245,410,302	251,110,256	255,814,491	249,798,926	243,546,383	249,279,734
10	Balances due from banking institutions in the group	-	-	-	-	-	-	-	-
11	Investments in associates	2,121,436	2,181,456	2,161,475	2,272,335	939,560	955,118	755,118	755,118
12	Investments in subsidiary companies	-	-	-	-	2,512,920	2,512,920	2,512,920	2,512,920
13	Investment in joint ventures	-	-	-	-	-	-	-	-
14	Investment in properties	-	-	-	-	-	-	-	-
15	Property, plant and equipment	5,406,955	5,867,870	6,614,048	6,959,656	5,256,119	5,722,128	5,971,546	6,795,353
16	Prepaid lease rentals	36,964	35,232	35,132	36,964	36,964	35,232	35,132	36,964
17	Intangible assets	2,503,759	2,370,465	2,497,243	1,323,922	2,467,991	2,330,401	2,093,951	1,272,161
18	Deferred tax asset	3,195,079	3,195,079	2,944,937	1,104,235	3,129,344	3,129,344	3,129,344	1,081,823
19	Retirement benefit asset	-	-	-	-	-	-	-	-
20	Other assets	10,192,061	12,318,962	20,343,067	15,747,772	9,556,530	11,826,102	20,235,823	15,090,828
21	TOTAL ASSETS	429,591,235	425,674,260	413,413,215	398,426,995	423,857,656	419,998,477	408,303,625	393,427,494
B	LIABILITIES								
22	Balances due to Central Bank Of Kenya	-		-	-	-	-	-	-
23	Customer deposits	323,599,694	317,770,079	306,117,046	296,964,959	321,191,201	315,177,831	303,753,161	294,721,240
24	Deposits and balances due to local banking institutions	1,416,171	1,586,886	443,260	2,777,354	1,416,171	1,586,886	839,621	2,777,354
25	Deposits and balances due to banking institutions abroad	78,297	564,556	-	416,421	78,297	564,556	-	416,421
26	Other money market deposits	-	-	-	-	-	-	-	-
27	Borrowed funds	21,465,132	23,731,554	23,949,611	18,425,852	21,465,132	23,731,554	23,949,611	18,425,852
28	Balances due to banking institutions in the group	-	-	-	-	-	-	-	-
29	Tax payable	5,355	1,790,242	321,453	801	-	1,735,946	294,555	-
30	Dividends payable	-	-	-	-	-	-	-	-
31	Deferred tax liability	-	-	-	-	-	-	-	-
32	Retirement benefit liability	-	-	-	-	-	-	-	-
33	Other liabilities	10,633,798	6,056,246	11,364,739	11,053,800	9,554,853	5,183,307	11,147,659	10,335,739
34	TOTAL LIABILITIES	357,198,447	351,499,563	342,196,110	329,639,186	353,705,654	347,980,079	339,984,607	326,676,606
C	SHAREHOLDERS' FUNDS								
35	Paid up/Assigned capital	5,867,180	5,867,180	5,867,180	5,867,180	5,867,180	5,867,180	5,867,180	5,867,180
36	Share premium/(discount)	1,911,925	1,911,925	1,911,925	1,911,925	1,911,925	1,911,925	1,911,925	1,911,925
37	Revaluation reserve	1,212,531	1,198,143	1,292,736	1,241,681	1,198,143	1,198,143	1,198,143	1,227,293
38	Retained earnings/ Accumulated losses	62,226,613	58,534,408	53,976,280	59,404,623	59,434,539	55,742,221	52,376,127	56,731,944
39	Statutory Loan Loss Reserve	935,514	935,514	1,013,587	-	935,514	935,514	935,514	-
40	Other Reserves	(1,600,119)	(1,968,141)	(526,771)	(878,255)	352,048	38,963	(298,942)	541,419
41	Proposed dividends	-	5,867,180	5,867,180	-	-	5,867,180	5,867,180	-
42	Capital grants	452,652	457,271	461,890	471,128	452,652	457,271	461,890	471,128
43	TOTAL SHAREHOLDERS' FUNDS	71,006,297	72,803,481	69,864,008	68,018,281	70,152,002	72,018,398	68,319,018	66,750,889
43.1	Non-Controlling Interest	1,386,490	1,371,216	1,353,098	769,528	-	-	-	-
44	TOTAL LIABILITIES & SHAREHOLDERS' FUNDS	429,591,235	425,674,260	413,413,215	398,426,995	423,857,656	419,998,477	408,303,625	393,427,494

		GROUP				BANK			
II	STATEMENT OF COMPREHENSIVE INCOME	30-Jun-19 KSHS.'000 (Un-audited)	31-Mar-19 KSHS.'000 (Un-audited)	31-Dec-18 KSHS.'000 Audited	30-Jun-18 KSHS.'000 (Un-audited)	30-Jun-19 KSHS.'000 (Un-audited)	31-Mar-19 KSHS.'000 (Un-audited)	31-Dec-18 KSHS.'000 Audited	30-Jun-18 KSHS.'000 (Un-audited)
1.0	INTEREST INCOME								
1.1	Loans and advances	14,671,366	7,177,059	32,946,490	16,132,752	14,501,989	7,091,982	32,597,365	15,961,713
1.2	Government securities	5,532,914	2,785,925	9,789,407	4,548,123	5,521,962	2,762,316	9,769,263	4,539,345
1.3	Deposits and placements with banking institutions	221,168	118,856	288,966	98,819	183,874	118,856	218,057	71,266
1.1	Other Interest Income	-	4,597	-	-	-	-	-	-
1.5	Total Interest Income	20,425,448	10,086,438	43,024,863	20,779,695	20,207,826	9,973,154	42,584,684	20,572,323
2.0	INTEREST EXPENSE								
2.1	Customer deposits	5,355,826	2,765,763	10,890,477	5,364,583	5,334,818	2,765,621	10,851,097	5,344,734
2.2	Deposits and placements from banking institutions	20,973	3,178	133,813	28,406	20,973	3,178	133,813	28,406
2.3	Other Interest Expenses	794,881	389,725	1,215,825	572,795	794,881	380,982	1,215,825	572,795
2.4	Total Interest Expenses	6,171,680	3,158,665	12,240,115	5,965,784	6,150,672	3,149,781	12,200,735	5,945,934
3	NET INTEREST INCOME/(LOSS)	14,253,768	6,927,772	30,784,748	14,813,911	14,057,154	6,823,373	30,383,949	14,626,389
4	NON- INTEREST INCOME								
4.1	Fees and commissions on loans and advances	1,069,094	542,034	575,852	802,720	1,069,094	542,034	575,852	802,720
4.2	Other Fees and commissions	6,005,175	2,877,061	8,941,686	4,321,378	5,221,354	2,458,056	7,569,878	3,677,486
4.3	Foreign exchange trading income/(loss)	952,441	637,826	2,284,887	1,222,313	845,484	596,073	2,052,864	1,128,239
4.4	Dividend income	86,757	-	83,288	83,287	86,757	-	83,288	83,287
4.5	Other income	638,041	131,792	1,007,790	565,417	610,115	116,401	879,936	532,053
4.6	Total Non-interest income	8,751,509	4,188,712	12,893,502	6,995,115	7,832,804	3,712,564	11,161,817	6,223,784
5.0	TOTAL OPERATING INCOME	23,005,277	11,116,485	43,678,250	21,809,026	21,889,958	10,535,937	41,545,767	20,850,173

6.0	OTHER OPERATING EXPENSES								
6.1	Loan loss provision	1,181,163	501,454	1,840,728	1,093,122	1,159,835	494,992	1,825,313	1,050,000
6.2	Staff costs	5,707,042	2,783,907	11,449,964	5,343,888	5,426,681	2,647,650	10,953,108	5,102,297
6.3	Directors' emoluments	97,317	17,198	198,843	88,272	73,196	5,583	150,169	63,875
6.4	Rentals charges	884,807	430,220	1,711,800	850,524	816,438	395,176	1,602,542	790,104
6.5	Depreciation charge on property and equipment	699,480	342,726	1,817,946	846,584	686,646	336,383	1,612,198	840,421
6.6	Armortisation charges	260,192	110,545	562,938	271,301	252,286	106,592	489,001	263,428
6.7	Other operating expenses	3,765,406	1,837,847	8,110,316	3,480,824	3,547,433	1,740,857	7,326,679	3,294,515
6.8	Total other operating expenses	12,595,406	6,023,896	25,692,535	11,974,515	11,962,514	5,727,232	23,959,011	11,404,640
7	Profit/(Loss) before tax and exceptional items	10,409,871	5,092,588	17,985,715	9,834,512	9,927,444	4,808,705	17,586,756	9,445,532
8	Exceptional items-Early Retirement Costs		-	-		-	-	-	-
8	Exceptional items-Share of profit of associate	26,736	19,981	171,416	141,326	-	-	-	-
9	Profit/(Loss) before tax	10,436,607	5,112,569	18,157,131	9,975,837	9,927,444	4,808,705	17,586,756	9,445,532
10	Current tax	2,967,127	1,513,460	5,943,318	2,835,677	2,869,032	1,442,612	5,688,303	2,730,001
11	Deferred tax	-	-	(518,673)	-	-	-	(510,622)	-
12	Profit/(loss) after tax and exceptional items	7,469,480	3,599,109	12,732,487	7,140,160	7,058,411	3,366,094	12,409,075	6,715,532
13.0	OTHER COMPREHENSIVE INCOME:								
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-		-	-	-	-
13.2	Fair value changes in available-for-sale financial assets	365,542	338,305	253,869	(153,107)	650,990	337,905	326,672	1,167,033
13.3	Revaluation Surplus on property, Plant and Equipment	-	-	-	-	-	-	-	-
13.4	Share of other comprehensive income of associates	-	-	(39,609)	-	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	-	-	-	-	-	-	-	-
14	OTHER COMPREHENSIVE INCOME NET OF TAX	365,542	338,305	214,260	(153,107)	650,990	337,905	326,672	1,167,033
15	TOTAL COMPREHENSIVE INCOME	7,835,022	3,937,414	12,946,747	6,987,053	7,709,402	3,703,999	12,735,747	7,882,565
	Basic Earnings per share	1.27	0.61	2.18	1.22	1.20	0.57	2.11	1.14
	Diluted Earnings per share	1.27	0.61	2.18	1.22	1.20	0.57	2.11	1.14
	Dividend per share	-	-	1.00	-	-	-	1.00	-

III	OTHER DISCLOSURES	GROUP				BANK			
		30-Jun-19 KSHS.'000 (Un-audited)	31-Mar-19 KSHS.'000 (Un-audited)	31-Dec-18 KSHS.'000 Audited	30-Jun-18 KSHS.'000 (Un-audited)	30-Jun-19 KSHS.'000 (Un-audited)	31-Mar-19 KSHS.'000 (Un-audited)	31-Dec-18 KSHS.'000 Audited	30-Jun-18 KSHS.'000 (Un-audited)
1	NON PERFORMING LOANS AND ADVANCES								
a)	Gross non-performing loans and advances	30,555,911	29,728,495	29,401,544	28,215,338	29,978,457	29,235,436	28,952,802	28,215,338
	Less	-	-						
b)	Interest in suspense	4,827,378	4,627,035	4,199,519	861,331	4,786,363	4,597,934	4,199,519	861,331
c)	Total Non-performing loans and advances (a-b)	25,728,533	25,101,460	25,202,025	27,354,007	25,192,094	24,637,502	24,753,283	27,354,007
	Less	-	-						
d)	Loan loss provisions	10,869,058	10,883,876	9,945,260	7,888,289	10,709,961	10,739,296	9,820,074	7,888,289
e)	Net Non performing loans (c-d)	14,859,476	14,217,584	15,256,765	19,465,718	14,482,133	13,898,206	14,933,209	19,465,718
f)	Discounted Value of Securities	14,705,464	13,146,665	13,797,738	13,431,086	14,705,464	13,146,665	13,797,738	13,431,086
g)	Net NPLs Exposure (e-f)	154,012	1,070,919	1,459,027	6,034,632	(223,331)	751,541	1,135,471	6,034,632
2	Insider loans and advances								
a)	Directors, shareholders and associates	2,398,569	2,308,869	2,396,946	2,141,814	2,398,569	2,308,869	2,396,946	2,141,814
b)	Employees	8,841,656	8,586,542	8,425,634	7,790,372	8,841,656	8,585,223	8,425,634	7,790,372
c)	Total insider loans, advances and other facilities	11,240,225	10,895,411	10,822,580	9,932,186	11,240,225	10,894,092	10,822,580	9,932,186
3	Off-Balance Sheet Items								
a)	Letters of credit,guarantees, acceptances	23,478,406	27,016,781	19,633,909	14,677,898	23,478,406	27,016,781	19,633,909	14,677,898
b)	Forwards, swaps and options	13,817,777	11,375,243	8,425,708	20,246,519	13,817,777	11,375,243	8,425,708	20,246,519
c)	Other contingent liabilities	-	-	-	-	-	-	-	-
d)	Total contingent liabilities	37,296,183	38,392,024	28,059,617	34,924,418	37,296,183	38,392,024	28,059,617	34,924,418
	Capital strength								
a)	Core capital	62,794,794	60,838,573	59,272,338	59,555,003	58,734,826	56,893,286	55,214,858	58,269,668
b)	Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
c)	Excess/(deficiency)	61,794,794	59,838,573	58,272,338	58,555,003	57,734,826	55,893,286	54,214,858	57,269,668
d)	Supplementary capital	1,238,647	1,235,050	1,336,771	306,823	1,235,050	1,235,050	1,235,050	306,823
e)	Total capital (a+d)	63,033,441	62,073,623	60,609,109	58,861,826	59,969,877	58,128,337	56,449,909	58,576,491
f)	Total risk weighted assets	392,420,664	390,473,465	370,529,016	374,038,036	389,919,445	388,172,273	367,430,410	370,855,009
g)	Core capital/total deposit liabilities	19.3%	19.0%	19.3%	19.97%	18.2%	17.9%	18.1%	19.7%
h)	Minimum Statutory Ratio	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%
i)	Excess/(deficiency)	11.3%	11.0%	11.3%	12.0%	10.2%	9.9%	10.1%	11.7%
j)	Core capital/total risk weighted assets	16.0%	15.6%	16.0%	15.92%	15.1%	14.7%	15.0%	15.7%
k)	Minimum Statutory Ratio	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%
l)	Excess/(deficiency)(j-k)	5.5%	5.1%	5.5%	5.42%	4.6%	4.2%	4.5%	5.2%
m)	Total capital/total risk weighted assets	16.3%	15.9%	16.4%	16.00%	15.4%	15.0%	15.4%	15.8%
n)	Minimum Statutory Ratio	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%
o)	Excess/(deficiency)(m-n)	1.8%	1.4%	1.9%	1.50%	0.9%	0.5%	0.9%	1.3%
p)	Adjusted Core Capital/Total Deposit Liabilities*	19.8%	19.7%	20.3%	21.04%	18.7%	18.6%	19.1%	20.8%
q)	Adjusted Core Capital/Total Risk Weighted Assets*	16.4%	16.1%	16.8%	16.77%	15.5%	15.2%	15.8%	16.6%
r)	Adjusted Total Capital/Total Risk Weighted Assets*	16.7%	16.5%	17.2%	16.85%	15.8%	15.5%	16.2%	16.7%
5	Liquidity								
a)	Liquidity Ratio	44.6%	45.2%	41.1%	37.7%	43.5%	44.7%	41.5%	36.9%
b)	Minimum Statutory Ratio	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%
c)	Excess/(deficiency)(a-b)	24.6%	25.2%	21.1%	17.7%	23.5%	24.7%	21.5%	16.9%

*The adjusted capital ratios include the expected credit loss provisions added back to capital in line with the CBK guidance note issued in April 2018 on implementation of IFRS9.

The financial statements were approved by the Directors on 21st August 2019 and signed on its behalf by:

Signed: J.K.Murugu, OGW
Group Chairman

Signed: Dr.G. Muriuki, CBS,MBS
Group Managing Director & CEO

CO-OPERATIVE BANK OF KENYA LIMITED
STATEMENT OF CHANGES IN EQUITY

	Share Capital KShs'000	Share Premium KShs'000	Revaluation Reserve KShs'000	Statutory Reserve KShs'000	Fair Value Reserve KShs'000	Foreign Currency Translation Reserve KShs'000	Proposed Dividends KShs'000	Retained Earnings KShs'000	Attributable to equity holder of the parent KShs'000	Non-Controlling Interest KShs'000	Total Equity KShs'000
At 1 January 2018	**5,867,180**	**1,911,926**	**1,296,498**	**718,617**	**(733,149)**	**-**	**4,693,744**	**55,329,786**	**69,084,602**	**727,983**	**69,812,585**
Impact of adopting IFRS 9(Note 2(cc))	-	-	-	-	-	-	-	(8,302,566)	(8,302,566)	(159,988)	(8,462,554)
Restated opening balance under IFRS 9	**5,867,180**	**1,911,926**	**1,296,498**	**718,617**	**(733,149)**	**-**	**4,693,744**	**47,027,220**	**60,782,036**	**567,995**	**61,350,031**
Profit /(loss) for the year	-	-	-	-	-	-	-	12,788,882	12,788,882	(56,396)	12,732,486
Other comprehensive income	-	-	10,549	-	294,987	(88,609)	-	-	216,927	(2,666)	214,261
Total comprehensive income	**-**	**-**	**10,549**	**-**	**294,987**	**(88,609)**	**-**	**12,788,882**	**13,005,809**	**(59,062)**	**12,946,747**
Transfer of excess depreciation	-	-	(29,150)	-	-	-	-	29,150	-	-	-
Deferred tax on excess depreciation	-	-	-	-	-	-	-	12,493	12,493	-	12,493
Transfer to statutory reserve	-	-	-	291,875	-	-	-	(291,875)	-	-	
Exchange difference on hyperinflationary economy	-	-	14,838	3,095	-	-	-	277,590	295,523	171,237	466,760
Issue of additional shares	-	-	-	-	-	-	-	-	-	**672,927**	672,927
2017- Dividends paid	-	-	-	-	-	-	(4,693,744)	-	(4,693,744)	-	(4,693,744)
Proposed dividends	-	-	-	-	-	-	5,867,180	(5,867,180)	-	-	-
At 31 December 2018	**5,867,180**	**1,911,926**	**1,292,735**	**1,013,587**	**(438,161)**	**(88,609)**	**5,867,180**	**53,976,280**	**69,402,118**	**1,353,097**	**70,755,215**
Balance at 1 January 2019	**5,867,180**	**1,911,926**	**1,292,736**	**1,013,587**	**(438,162)**	**(88,609)**	**5,867,180**	**53,976,280**	**69,402,118**	**1,353,097**	**70,755,215**
Total comprehensive income											
Profit for the year	-	-	-	-	-		-	7,469,480	**7,469,480**	**33,393**	**7,502,873**
Other comprehensive income	-	-	(80,205)	-	(1,161,957)	88,609	-	-	**(1,153,553)**	-	**(1,153,553)**
Realisation of revaluation surplus	-	-	-	-	-	-	-	-	**-**	-	**-**
Net movement in revenue grants	-	-	-	-	-	-	-	702,780	**702,780**	-	**702,780**
2018- Dividends paid	-	-	-	-	-	-	(5,867,180)	-	**(5,867,180)**	-	**(5,867,180)**
Transfers to(from) statutory reserve	-	-	-	(78,073)	-	-	-	78,073	**-**	-	**-**
Balance at 30 June 2019	**5,867,180**	**1,911,926**	**1,212,531**	**935,514**	**(1,600,119)**	**-**	**-**	**62,226,613**	**70,553,645**	**1,386,490**	**71,940,136**

CO-OPERATIVE BANK OF KENYA LIMITED
STATEMENT OF CASHFLOWS AS AT 30 June 2019

	Jun-19 KShs'000	2018 KShs'000
A CASH FLOWS FROM OPERATING ACTIVITIES:-		
Cash generated from / (used in) operating activities	28,417,561	37,103,692
Tax paid	(3,421,523)	(5,186,165)
Net cash flows from /(used in) operating activities	24,996,038	31,917,527
B CASH FLOWS FROM INVESTING ACTIVITIES:-		
Purchase of property and equipment	(379,966)	(774,340)
Purchase of software	(226,917)	(975,733)
Additional investment in associate	(184,442)	-
Proceeds from disposal of property and equipment	83	6,914
Purchase of held-to-maturity investments	(35,484,907)	(10,868,530)
Maturity of held-to-maturity investments	19,089,506	2,043,371
Net cash flows used in investing activities	(17,186,643)	(10,568,318)
C CASH FLOWS FROM FINANCING ACTIVITIES:-		
Proceeds from borrowings	-	7,638,458
Repayment of borrowings	(2,970,210)	(8,562,857)
Dividends paid	(5,867,180)	(4,693,744)
Net cash flows from financing activities	(8,837,390)	(5,618,143)
Net movement in cash and cash equivalents	(1,027,995)	15,731,066
Cash and cash equivalents at the beginning of the year	32,112,688	16,381,622
Cash and cash equivalents at	31,084,693	32,112,688